

--SUMMARY--

Decision No. 3030/16

03-Jan-2017

R.Nairn

- In the course of employment (parking lots)
- In the course of employment (plazas and malls)
- Right to sue

The plaintiff in a civil case slipped and fell on ice in the parking of the mall where her employer's clothing store was located. The plaintiff brought the action against the owner of the mall and the company that cleared the snow from the parking lot. The defendants applied to determine whether the plaintiff's right of action was taken away. The issue was whether the plaintiff was in the course of employment at the time of the accident.

The worker's employer did not own or lease the parking lot. However, there may still be circumstances in which the parking can be considered to be under the employer's control. In this case, specific parking spots were not allocated to the plaintiff or other mall employees, but the plaintiff was instructed to park in a specific area by both mall management and her employer. When she had parked in other locations, she was directed and warned to park in the employee parking area. Further, the terms of the lease between the mall owner and the employer allow the owner to designate tenant parking in the mall and to charge the employer additional rent of \$20 per day for each car not parked in the designated area.

The Vice-Chair concluded that the employer did exercise a degree of control over the parking lot. Accordingly, the Vice-Chair found that the plaintiff was in the course of employment when she slipped and fell on ice in the parking lot. The plaintiff's right of action was taken away.

12 Pages

References: Act Citation

- WSIA

Other Case Reference

- [w0917s]
- BOARD DIRECTIVES AND GUIDELINES: Operational Policy Manual, Documents No. 15-02-02, 15-03-04
- TRIBUNAL DECISIONS CONSIDERED: Decision No. 867/98 (1998), 47 W.S.I.A.T.R. 201 consd; Decision No. 2675/08 consd

Style of Cause: Lalonde v. Ivanhoe Cambridge Inc.
Neutral Citation: 2017 ONWSIAT 12



WORKPLACE SAFETY AND INSURANCE APPEALS TRIBUNAL

DECISION NO. 3030/16

BEFORE:

R. Nairn: Vice-Chair

HEARING:

November 22, 2016 at Toronto
Oral

DATE OF DECISION:

January 3, 2017

NEUTRAL CITATION:

2017 ONWSIAT 12

**APPLICATION FOR ORDER UNDER SECTION 31 OF THE *WORKPLACE SAFETY AND
INSURANCE ACT, 1997***

APPEARANCES:

For the applicants:

Mr. G. Mallia, Lawyer

For the respondent:

Mr. G. Carr, Lawyer

Interpreter:

N/A

**Workplace Safety and Insurance
Appeals Tribunal**

505 University Avenue 7th Floor
Toronto ON M5G 2P2

**Tribunal d'appel de la sécurité professionnelle
et de l'assurance contre les accidents du travail**

505, avenue University, 7^e étage
Toronto ON M5G 2P2

REASONS

(i) Introduction

[1] This is an application under Section 31 of the *Workplace Safety and Insurance Act, 1997* (the “WSIA”) by the defendant in an action filed in Kitchener in the Ontario Superior Court of Justice as Court File # 14-4110-SR.

[2] The following background information is, generally speaking, not contested and I have relied on it in reaching my decision:

- At the time of the accident under consideration here, the respondent, Ms. Lalonde was employed by C. Ltd. as an Assistant Manager of a clothing store located in a mall in Waterloo, Ontario.
- The mall as well as the parking lots associated therewith were owned by Ivanhoe Cambridge Inc. (“Ivanhoe”).
- Ivanhoe had a winter maintenance contract with Humphries Lawn Maintenance & Snow Removal (“Humphries”). At all relevant times, Humphries was owned and operated by Mr. K. Humphries.
- At about 8:45 a.m. on April 12, 2013, Ms. Lalonde arrived at the mall parking lot, exited her vehicle and proceeded into the mall to start her work day. There had been a freezing rain storm that day and after arriving, Ms. Lalonde discovered that the mall was without power. After waiting for a period of time, she was eventually provided with authorization to go home for the day and she left the mall. During her walk back to the vehicle, while she was going through the parking lot to her car, she slipped and fell.
- On or about July 15, 2014, Ms. Lalonde commenced an action in the Ontario Superior Court of Justice as Court File # 14-4110-SR for damages against Ivanhoe, Humphries and Mr. Humphries.
- Subsequently, the defendants brought this application pursuant to Section 31 of the WSIA requesting an order that Ms. Lalonde’s right of action with respect to this accident is taken away.
- Information provided by the WSIB (the “Board”) and contained in Addendum #1 provides that at the time of the accident both Ivanhoe and Humphries were active Schedule 1 employers. C Ltd., as an interested party, was advised of these proceedings. In a letter dated November 15, 2016 (marked as Exhibit #9), Mr. D. Wong, representing C. Ltd., advised that C. Ltd. would not be participating in the hearing.

(ii) Issues

[3] At the outset of the hearing, the representatives agreed there was no dispute that at the time of the accident under consideration here, Ms. Lalonde was a “worker” of a Schedule 1 employer – C. Ltd.

[4] Given the parties' agreement, the remaining issue to be decided was whether the accident that occurred on April 12, 2013 occurred in the course of Ms. Lalonde's employment. If it were determined that Ms. Lalonde's fall in the parking lot occurred in the course of her employment then the application would be successful and Ms. Lalonde's right of action would be taken away.

[5] At the commencement of the hearing, the representatives also agreed that no oral testimony would be provided. The representatives agreed to accept the testimony provided by Ms. Lalonde at her Examination for Discovery on March 9, 2015.

(iii) Law and policy

[6] Section 31 of the WSIA provides that a party to an action or an insurer from whom statutory accident benefits ("SABs") are claimed under section 268 of the *Insurance Act* may apply to the Tribunal to determine whether: a right of action is taken away by the Act; whether a plaintiff is entitled to claim benefits under the insurance plan; or whether the amount a party to an action is liable to pay is limited by the Act.

[7] Sections 26 through 29 of the WSIA provide the following:

26(1) No action lies to obtain benefits under the insurance plan, but all claims for benefits shall be heard and determined by the Board.

(2) Entitlement to benefits under the insurance plan is in lieu of all rights of action (statutory or otherwise) that a worker, a worker's survivor or a worker's spouse, child or dependent has or may have against the worker's employer or an executive officer of the employer for or by reason of an accident happening to the worker or an occupational disease contracted by the worker while in the employment of the employer.

27(1) Sections 28 to 31 apply with respect to a worker who sustains an injury or a disease that entitles him or her to benefits under the insurance plan and to the survivors of a deceased worker who are entitled to benefits under the plan.

(2) If a worker's right of action is taken away under section 28 or 29, the worker's spouse, child, dependent or survivors are, also, not entitled to commence an action under section 61 of the Family Law Act.

28(1) A worker employed by a Schedule 1 employer, the worker's survivors and a Schedule 1 employer are not entitled to commence an action against the following persons in respect of the worker's injury or disease:

1. Any Schedule 1 employer.
2. A director, executive officer or worker employed by any Schedule 1 employer.

(2) A worker employed by a Schedule 2 employer and the worker's survivors are not entitled to commence an action against the following persons in respect of the worker's injury or disease:

1. The worker's Schedule 2 employer.
2. A director, executive officer or worker employed by the worker's Schedule 2 employer.

(3) If the workers of one or more employers were involved in the circumstances in which the worker sustained the injury, subsection (1) applies only if the workers were acting in the course of their employment.

(4) Subsections (1) and (2) do not apply if any employer other than the worker's employer supplied a motor vehicle, machinery or equipment on a purchase or rental basis without also supplying workers to operate the motor vehicle, machinery or equipment.

29(1) This section applies in the following circumstances:

1. In an action by or on behalf of a worker employed by a Schedule 1 employer or a survivor of such a worker, any Schedule 1 employer or a director, executive officer or another worker employed by a Schedule 1 employer is determined to be at fault or negligent in respect of the accident or the disease that gives rise to the worker's entitlement to benefits under the insurance plan.

2. In an action by or on behalf of a worker employed by a Schedule 2 employer or a survivor of such a worker, the worker's Schedule 2 employer or a director, executive officer or another worker employed by the employer is determined to be at fault or negligent in respect of the accident or the disease that gives rise to the worker's entitlement to benefits under the insurance plan.

(2) The employer, director, executive officer or other worker is not liable to pay damages to the worker or his or her survivors or to contribute to or indemnify another person who is liable to pay such damages.

(3) The court shall determine what portion of the loss or damage was caused by the fault or negligence of the employer, director, executive officer or other worker and shall do so whether or not he, she or it is a party to the action.

(4) No damages, contribution or indemnity for the amount determined under subsection (3) to be caused by a person described in that subsection is recoverable in an action.

[8] In *Decision No. 1460/02*, the Panel noted that the Tribunal is not required to apply Board policy in right to sue applications, as section 126 of the Act refers to appeals, not applications. The Panel, however, also noted that it is important to maintain consistency with findings that might have been made had the case come to the Tribunal by way of appeal from a decision regarding entitlement. Therefore, Board policy continues to be relevant in right to sue applications (see for example, *Decision No. 755/02*).

(iv) Analysis

[9] As indicated earlier, the central issue to be determined in this application is whether Ms. Lalonde's accident of April 12, 2013, occurred in the course of her employment.

[10] *Operational Policy Manual*, Document No. 15-02-02 entitled "Accident in the Course of Employment" provides:

Policy

A personal injury by accident occurs in the course of employment if the surrounding circumstances relating to place, time, and activity indicate that the accident was work-related.

Guidelines

In determining whether a personal injury by accident occurred in the course of employment, the decision-maker applies the criteria of place, time, and activity in the following way:

Place

If a worker has a fixed workplace, a personal injury by accident occurring on the premises of the workplace generally will have occurred in the course of employment. A personal injury by accident occurring off those premises generally will not have occurred in the course of employment. If a worker with a fixed workplace was injured while absent from the workplace on behalf of the employer or if a worker is normally expected to work away from a fixed workplace, a personal injury by accident generally will have

occurred in the course of employment if it occurred in a place where the worker might reasonably have been expected to be while engaged in work-related activities.

Time

If a worker has fixed working hours, a personal injury by accident generally will have occurred in the course of employment if it occurred during those hours or during a reasonable period before starting or after finishing work. If a worker does not have fixed working hours or if the accident occurred outside the worker's fixed working hours, the criteria of place and activity are applied to determine whether the personal injury by accident occurred in the course of employment.

Activity

If a personal injury by accident occurred while the worker was engaged in the performance of a work-related duty or in an activity reasonably incidental to (related to) the employment, the personal injury by accident generally will have occurred in the course of employment. If a worker was engaged in an activity to satisfy a personal need, the worker may have been engaged in an activity that was incidental to the employment. Similarly, engaging in a brief interlude of personal activity does not always mean that the worker was not in the course of employment. In determining whether a personal activity occurred in the course of employment, the decision-maker should consider factors such as:

- the duration of the activity
- the nature of the activity, and
- the extent to which it deviated from the worker's regular employment activities.

In determining whether an activity was incidental to the employment, the decision-maker should take into consideration

- the nature of the work
- the nature of the work environment, and
- the customs and practices of the particular workplace.

Application of criteria

The importance of the three criteria varies depending on the circumstances of each case. In most cases, the decision-maker focuses primarily on the activity of the worker at the time the personal injury by accident occurred to determine whether it occurred in the course of employment.

If a worker with fixed working hours and a fixed workplace suffered a personal injury by accident at the workplace during working hours, the personal injury by accident generally will have occurred in the course of employment unless, at the time of the accident, the worker was engaged in a personal activity that was not incidental to the worker's employment.

The decision-maker examines the activity of the worker at the time of the accident to determine whether the worker's activity was of such a personal nature that it should not be considered work-related.

In all other circumstances, the time and place of the accident are less important. In these cases, the decision-maker focuses on the activity of the worker and examines all the surrounding circumstances to decide if the worker was in the course of employment at the time that the personal injury by accident occurred.

- [11] The respondent's representative did not take any significant issue with the suggestion that a review of the criteria of time and activity would have suggested that the accident occurred in the course of Ms. Lalonde's employment.
- [12] With respect to the matter of the time of the accident, it was not disputed that the worker had fixed working hours and that the slip and fall occurred during those hours. In her Examination for Discovery evidence, Ms. Lalonde advised that on the day of the accident, she arrived at work between 8:30 a.m. and 8:45 a.m. and that this was a very typical arrival time. Ms. Lalonde advised that her shift that day started at 9 a.m. and that she was responsible for opening the store for the mall opening at 9:30 a.m. Eventually, by around 10:30 a.m., a decision was made by the mall head office that due to the lack of power, the mall would not be opening and Ms. Lalonde (and others in the mall) could go home. Ms. Lalonde then left the mall and her plan was to drive home. With respect to the criteria of "activity", there was no dispute that the only reason Ms. Lalonde was in the parking lot that day was to report for work. In addition, just prior to her fall, she had exited the closest mall doors to her car and was proceeding directly to her vehicle. Ms. Lalonde also testified that she "made a bee-line" for her vehicle and fell when she was "almost in front of it". There is no evidence of substance to suggest that at the time of her accident, the worker was engaged in an activity to satisfy a personal need. The activity of entering and exiting the workplace was reasonably incidental to her employment.
- [13] The more difficult issue in this application deals with the criteria of "place." The policy provides that "if a worker has a fixed workplace, a personal injury by accident on the premises of the workplace generally will have occurred in the course of employment." In this case it has not been disputed that Ms. Lalonde had a fixed workplace i.e. the clothing store owned by C. Ltd. However, there was also no dispute that C. Ltd. did not own the parking lot where Ms. Lalonde fell. The parking lot was owned by Ivanhoe and was serviced through a winter maintenance contract by Humphries. The issue to be determined therefore, is whether the parking lot where Ms. Lalonde fell could be considered part of her employer's "premises."
- [14] *Operational Policy Manual* ("OPM") Document No. 15-03-04 entitled "Employer's Premises Parking Lots, Roads, Plazas, Malls, Boundaries" provides some assistance in determining how far an employer's "premises" extends beyond the actual plant or location of work. The policy notes that "workers are in the course of employment upon entering the employer's premises at the proper time, using an accepted entrance." The policy continues and provides further explanation with respect to the description of an employer's premises and indicates:

Guidelines

Employer's premises

Definition

The building, plant or location of work, including entrances, exits, stairs, elevators, lobbies, parking lots, passageways and private roads.

Parking lots

- The employer must own or lease the parking lot.
- If driving, the condition of the employer's lot must cause the accident.
- If walking, the condition of the lot need not be a contributing factor.

- Workers are not entitled to compensation if injured by their own vehicle.

(...)

Plazas and malls

Workers are not in the course of employment in public parking areas not under the employer's control.

Workers injured in parking spaces regulated and allocated by the employer may be entitled to compensation.

Workers are members of the general public once they leave the allocated areas and remain so until they arrive on the employer's premises.

Workers have no entitlement if their injuries occur on indoor streets and walkways open to the general public and not under the employer's control.

Entitlement is allowed if accidents occur on the actual premises of the employer within the mall or plaza.

[15] In this case, Ms. Lalonde slipped and fell in a parking lot outside of the premises of C. Ltd. According to OPM Document No. 15-03-04, in order for a parking lot to be considered part of an employer's premises, "the employer must own or lease the parking lot." There was no dispute in this case that C. Ltd. did not own the parking lot where Ms. Lalonde fell. The parking lot was owned by Ivanhoe and was maintained pursuant to a winter maintenance contract by Humphries. The representatives acknowledged that C. Ltd. did not lease the parking lot but rather paid only their proportional share of the expenses along with the other tenants in the mall.

[16] OPM Document No. 15-03-04 also suggests that for a parking lot to be considered part of the employer's premises, the parking lot must be "under the employer's control." The policy notes that workers injured in parking spaces "regulated and allocated by the employer may be entitled to compensation."

[17] In her Examination for Discovery evidence, Ms. Lalonde noted the following with respect to where she parked:

[141] Q. And in the terms of the area where you parked, was that the same place that you parked everyday pretty much:

A. Pretty much.

[142] Q. And was it actually marked as an employee parking area?

A. No.

[143] Q. And was it the area where the employees of [C. Ltd.] were supposed to park?

A. Yes.

[144] Q. And how did you know that?

A. We were told to park there.

[145] Q. Was that by mall management or by [C. Ltd.] people?

A. Um, both. The mall management told my manager, my manager relayed that.

[146] Q. And in terms of knowing where to park, were the, the parking spaces in some way signed?

A.. No.

[147] Q. So, how did you know where to park?

A. They described to us where we were to park and we saw everyone else parking there.

[148] Q. When you, when you say everyone else, do you mean all the other [C. Ltd.] employees?

A. All the other mall employees.

[149] And did the [C. Ltd.] employees park in the same areas other mall employees or were there separate areas for [C. Ltd.] employees?

A. No. No.

[150] Q. So, all the mall employees parked in the same areas for mall employees?

A. Yes.

[151] Q. And in terms of that area, was it a separate part of the parking lot in terms of having a concrete curb or sidewalk around it?

A. Did have that in front of it.

[152] Q. And so that would show the boundaries of where the employees were supposed to park”

A. Not really. It would – can we just stop for a moment, please, while I visualize this”

[153] Q. Oh, yes.

A. Thank you. There’s the building, there’s the road, they had a curb going like this in front of this parking lot

(...)

[158] Q. And throughout the time that you had worked at [C. Ltd.], had you always parked in that, that same employee parking area?

A. No, until I was threatened.

[159] Q. Oh. And at some point the mall management or, and/or your manager at the store said that you had to park in that employee parking area?

A. Yes.

[160] Q. And since the time of getting that direction or warning, did you always park in that employee parking area?

A. Yes.

[161] Q. To your understanding did any of the [C. Ltd.] employees park in any other areas of the mall or did they all park in that same employee parking area where you did?

A. I haven’t – I don’t know. I don’t know where they parked; I just knew that’s where my manager and I parked.

[162] Q. When you got this warning, was that by way of a, a written document that employees got?

A. No, but one of our ladies got a ticket.

[163] Q. Was it your understanding that if you parked in the, the customer parking areas you would get a ticket?

A. Mm-hmm.

[164] Q. You have to say yes or no.

A. Yes. Sorry.

[165] Q. Had you ever got a ticket for doing that?

A. No.

[166] Q. And when you say a ticket, did your coworker actually have to pay a fine.

A. Yes.

[18] As noted by both counsel, the Tribunal has addressed the issue of injuries occurring in parking lots on many occasions. It became evident after reviewing the cases referred to by each counsel, that the results are often very fact specific. The essence of the respondent's position in this case is that Ms. Lalonde's employer did not exercise a sufficient degree of control over the area of the parking lot where she fell to have it considered an extension of their premises. In this regard, Mr. Carr noted, among other things, that Ms. Lalonde's employer did not own or lease the parking lot, specific parking spots were not designated and it was, for all intents and purposes, a parking lot open to members of the public.

[19] While I acknowledge the position put forward by Mr. Carr on behalf of Ms. Lalonde, I prefer the position put forward by the applicant's representative that even in situations where an employer does not own or lease a parking lot, there still may be circumstances where that parking lot can be considered under the employer's control. In *Decision No. 867/98* for example, the Vice Chair indicated in part:

[22] Although the accident employer does not either own or lease the parking lot in question, Board Policy No. 03-02-10 further provides that workers "injured in parking spaces regulated and allocated by the employer may be entitled to compensation" (emphasis added). In other words, although the accident employer may not own or lease the parking lot in question, if the lot is "regulated and allocated" by the employer, there may be a sufficient relationship between the employer and the allocated lot such as to bring this lot within the employer's effective control and within the employer's premises for the purposes of the Workers' Compensation Act.

(...)

[27] In the case under consideration, I note that both the worker and the accident employer have provided evidence that the worker was required by the employer to park only in a designated area of the parking lot in question. The accident employer had frequently reminded the worker of this obligation, both by form of a written notice posted on the employer's premises, and by a letter included with the worker's pay cheque. The evidence before me indicates that if the employer were aware that a worker had parked in an area outside of this designated area, this worker would be asked to move his or her car to the designated area. Although the designated area in this case is not marked by signs, and is also available for use by the general public shopping at the mall, I note that in *Decision No. 878/95*, the designated parking area in question was also not marked by signs and was also available for use by the general public. Consistent with *Decision No. 878/95*, I also find that these factors alone are not sufficient to find that the parking lot is not "regulated and allocated" by the employer.

[20] Similarly, in *Decision No. 2675/08*, a Vice Chair indicated in part:

[6] On February 23, 2005, the respondent arrived at the mall at about 6:45 am. She parked her car in a particular section of the parking lot as she had been instructed to do by her employer, Wal-Mart. Although the lease between Wal-Mart and First Capital does

not assign a specific area of the parking lot to the exclusive use of Wal-Mart, Wal-Mart instructed its employees to park in certain areas of the lot so as to leave vacant the most desirable parking spots for Wal-Mart customers. There were no signs in the parking lot designating the area as Wal-Mart parking, or employee parking, and members of the public shopping at the mall were not precluded from parking in the areas in which Wal-Mart had instructed its employees to park. In accordance with her employer's instructions, the worker parked her car in a particular section of the lot. She generally parked in the same parking spot for every work shift.

(...)

[27] Assessing the evidence in this case in light of the principles set out in the Board policy as well as the jurisprudence referred to above, I am of the view that the respondent was in the course of her employment when she slipped and fell in the parking lot on February 23, 2005. My reasons for this conclusion are as follows.

[28] In my view, when an employer directs a worker to park in a particular area of a parking lot, then a worker who is following that direction is in the course of employment, even if the employer does not own or lease the parking lot. In my opinion, it defies logic to accept that an employer has the authority to require a worker to do something which advances the employer's commercial interests, and at the same time find that a worker who is doing that exact thing is not in the course of employment. The Board's policy accepts a worker injured in a parking lot that is neither owned nor leased by the employer may still, in certain circumstances, be in the course of employment. Those circumstances occur if the parking spaces are "regulated and allocated" by the employer. I have come to the conclusion that where an employer directs its workers to park in specific areas of a parking lot, the employer may be regarded as having regulated and allocated the parking spaces for the purposes of the Board's policy.

[21] In her Examination for Discovery evidence, Ms. Lalonde advised that while there were no specific parking spots allocated to her and other mall employees, she was instructed to park where she did by both mall management and her manager. Ms. Lalonde testified that she had parked in other locations until she was "threatened" by mall management and/or her manager to park in the employee parking area. She also testified that since receiving that "direction or warning" she "always parked in that employee parking area." Ms. Lalonde also indicated it was her understanding that if she did not park in the proper spot, she could receive a ticket/fine as did one of her co-workers.

[22] Ms. Lalonde's Examination for Discovery evidence is consistent with the contents of Exhibit E of the lease between Ivanhoe and C. Ltd and in particular section 16 which allows the landlord to designate tenant parking in the mall and "in the event of failure of Tenant or its employees to park their vehicles in such designated parking areas, Tenant will forthwith on demand pay to the landlord, as additional rent, the sum of Twenty Dollars (\$20.00) per day for each car so parked."

[23] Reviewing Ms. Lalonde's Examination for Discovery evidence, along with the contents of the lease, I find that her employer, C. Ltd. did exercise the degree of control over this parking lot. While the decision about where mall employees could park appears to have been made initially by the landlord, Ivanhoe, the decision was then enforced by both Ivanhoe and C. Ltd. Ms. Lalonde testified in her Examination for Discovery that Ivanhoe's decisions about parking spots were reinforced by her own manager and that after being "threatened" with a fine, she always parked in the same area.

[24]

The evidence in this case establishes that on April 12, 2013, Ms. Lalonde, as was her custom, arrived at work around 8:45 a.m. to start her work day. She parked where she had been directed to do so by her employer and mall management. She proceeded directly from her car into the mall to her workplace. Unfortunately, due to an ice storm and the loss of electrical power, she was given permission sometime later to go home. Ms. Lalonde took the most direct route from her workplace back to her car and unfortunately, just before she arrived there, she slipped and fell. There was no evidence of significance to suggest that Ms. Lalonde was at the mall that day for anything other than her work. Her use of the parking lot that day was reasonably incidental to her employment. At the time of the accident, she was complying with her employer's instructions about her use of the parking lot. In my view, the balance of evidence establishes a strong *nexus* between the parking lot where the injury occurred and Ms. Lalonde's employment. In my view, the circumstances of this case satisfy the criteria of time, place and activity, as set out in OPM Document No. 15-03-04 and I find that the accident of April 12, 2013, occurred in the course of Ms. Lalonde's employment.

DISPOSITION

[25] The application is granted.

[26] Ms. Lalonde's right of action with respect to the accident of April 12, 2013, is taken away.

DATED: January 3, 2017

SIGNED: R. Nairn